

THE OECD TAX-BENEFIT MODEL FOR ISRAEL

Description of policy rules for 2018



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Preface

The [OECD Tax-Benefit model \(TaxBEN\)](#) incorporates detailed policy rules for tax liabilities and benefit entitlements as they apply to individual families across OECD member countries. Its main use is to calculate the amount of taxes that people are liable to pay, and the government transfers they are likely to receive, in different family and labour-market situations. The model includes legal policy rules that are relevant for people of **working age** (from 18 years old until the statutory retirement age) and their dependent children. Income tax liabilities and benefit entitlements are calculated for a broad set of *stylised* families (“vignettes”, e.g. a married couple of 40 years old adults with two children aged 4 and 6 respectively). Model users are free to change many of these characteristics, including the age and number of children, activity status of adult members, hours of work, current and past earnings levels, unemployment duration, social contribution records, and housing-related costs. The model has been updated annually since the early 2000s for most OECD countries.

TaxBEN’s policy scope includes the main taxes on employment income (earnings), social contributions paid by individuals and by employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits and support for non-parental childcare are included for a sub-set of countries and years. The most important policy areas that are outside the scope of the model include taxes on wealth (e.g. taxes on immovable and unmovable properties, including local taxes), indirect taxes (e.g. VAT), early-retirement benefits, sickness benefits and in-kind transfers (e.g. free school meals, subsidised transport and free health care).

This report describes the taxes and benefits that are included in the model and focuses on the rules that are relevant for family, individual and labour-market circumstances that are within its scope. The **Annex** provides information on other cash benefits and taxes on employment incomes that can be relevant for some members of the working-age population, but which are not included in the TaxBEN model.

Reading notes and further details on the scope and content of this report

- The **reference date** for policy rules described in this report is **January 1, 2018**.
- **Guidelines for completing and updating this report** are provided [here](#).
- Further information on the model, model results, and references to reports and analytical uses is available on the [project website](#). A [methodology](#) document provides a full description of the assumptions underlying the model as well as the model choices that users can make. The symbol  in the text provides a link to a glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- In order to facilitate transparency between the policy descriptions and the associated code in the model, the variable names are indicated in the text in square brackets using the following format: **[variable name]**, for instance: **[AW]** for the average wage.

The OECD tax-benefit model for Israel: Policy rules in 2018

1. Reference wages

The 2017 average wage **[AW]** is ILS 153,115 (New Israeli Shekels).¹

The minimum wage **[MIN]** as of 1 January 2018 is ILS 5,300 per month (ILS 28.49 per hour). In the model, the annual minimum wage is computed by multiplying the minimum monthly wage (as of 1 January 2018) by 12, i.e. $ILS\ 5,300 * 12 = ILS\ 63,600$ (multiplying the minimum hourly wage by 186 hours and by 12 months gives the same result, i.e. $ILS\ 28.49 * 186 * 12 = ILS\ 63,600$).

2. Unemployment benefits

There is a monthly unemployment insurance benefit (described in Section 2.1) as well as grants given to special groups:

- Person working at low wages (see Section 2.1.7);
- Person in vocational training (not covered in TaxBEN, see Annex);
- Person working at unsuitable work (not covered in TaxBEN, see Annex);
- Demobilized soldier (not covered in TaxBEN, see Annex).

There is no unemployment assistance benefit.

2.1. Unemployment benefit (דמי אבטלה (יומיים))

Variable names:² **[UB; UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and taxable.



2.1.1. Eligibility conditions

Age: People from 20 years old to retirement age (currently 67) are eligible. Special rules apply to 15-18 year-olds who took part in vocational training (not covered in TaxBEN).

Contribution/employment history: Unemployment benefit qualifying period is 12 work months for which insurance contribution were paid out of the 18 months prior to determining date³.

¹ AW refers to the Average Wage estimated by the [Centre for Tax Policy and Administration](#). For more information on methodology see the latest [Taxing Wages publication](#).

² The variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse.

³ The 1st of the month in which the unemployment period began.

The qualifying period for minors (age 15-18) is 100 days for which insurance contributions were paid out of the 360 days prior to the determining date.

Behavioural requirements and related eligibility conditions:  A person must be registered at the labour exchange as lacking work, and being ready and able to work at any suitable work (and the labour exchange has not offered such work to the person). TaxBEN assumes that these compulsory conditions are satisfied when simulating unemployment benefits.⁴

2.1.2. Benefit amount

The benefit is calculated on the basis of daily average wage of the unemployed person during the last 75 workdays of qualification period. In 2018, benefit amounts are:

Gross salary subject to insurance contributions (ILS)		Unemployment Benefit, for those aged 28 or over			Unemployment Benefit, for those below the age of 28		
Monthly	Daily	per day (ILS)	per month based on 25 days (ILS)	as % of salary	per day (ILS)	per month based on 25 days (ILS)	as % of salary
3 000	120	96	2 400	80	72	1 800	60
4 000	160	128	3 200	80	96	2 400	60
5,000	200	152.05	3801	76	114.7	2868	57
6 000	240	172.05	4301	72	130.7	3268	54
7 000	280	191.06	4777	68	145.71	3643	52
8 000	320	209.06	5227	65	160	3993	50
9 000	360	225.11	5628	62	172.41	4310	48
10 000	400	237.11	5928	59	182	4560	46
11 000	440	249.11	6228	57	192.41	4810	44
12 000	480	261.11	6528	54	202	5060	42
13 000	520	273.11	6828	53	212.41	5310	41
14 000	560	285.11	7128	51	222	5560	40
15 000	600	297.11	7428	50	232	5810	39
16 000	640	309.11	7728	48	242	6060	38
17 000	680	321.11	8028	47	252	6310	37
18 000	720	333.11	8328	46	262	6560	36
19 000	760	345.11	8628	45	272	6810	36
20 000	800	357.11	8928	45	282	7060	35
25 000	1 000	396.24	9906	43	332	8310	33

For the first 125 days of payment in the unemployment year, the daily unemployment benefit may not exceed the daily average wage (ILS 396.25 in 2018). Beginning with the 126th day of payment, the daily unemployment benefit shall not exceed 2/3 of the daily average wage (264.16 in 2018).

⁴ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see Immervoll and Knotz (2018, forthcoming), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

2.1.3. Benefit duration

For a person with less than 3 dependents:

- 50 days for an unemployed person under 25.
- 67 days for an unemployed person aged 25 to 28;
- 100 days for the unemployed person aged 28 to 35;
- 138 days for an unemployed person aged 35 to 45;
- 175 days for an unemployed person aged 45 or over.

For a person with at least 3 dependents:

- 138 days for an unemployed person under 35;
- 175 days for an unemployed person aged 35 or over.

Within a 4-year period, an unemployed person under the age of 40 shall not be paid an unemployment benefit for a period exceeding 180% of the maximum period to which he is entitled. The rate of the unemployment benefit for additional period (beyond 100% of the maximum period) shall not be over 85% of the maximum daily unemployment benefit (not covered in TaxBEN).

Unemployment benefit is not paid for the first five unemployment days in each period of four consecutive months from the determining date (not covered in TaxBEN).

2.1.4. Means test

The benefit is not means-tested.

2.1.5. Tax treatment

The benefit is taxable at the same rates as income from work.

National Insurance is deducted from this benefit at the minimum rate of ILS 21 per month (as of 1 January 2015).

Health insurance is deducted from this benefit at a rate equivalent to that deducted from income from work.

2.1.6. Interactions with other components of the tax-benefit system

For a person receiving an old-age pension, the entire pension is deducted from the unemployment benefit due to him (not covered in TaxBEN).

2.1.7. Combining benefit receipt and employment/starting a new job

There is a special benefit for unemployed persons who start working at low wages (i.e. lower than the unemployment benefit due to them). In order to be eligible to this benefit a person must have worked at this work for at least 25 days and have not used up the maximum period of payment of unemployment benefit. The benefit is calculated for every day at the rate of the difference between the actual wage and 75% of the wage, which served as the basis for calculating the unemployment benefit. The grant is paid for the maximum period of 150 work days, in 2 payments: the first after 75 work days and the second after every additional 25 work days.

3. Social assistance and housing benefits

The main benefit to insure means of subsistence to those Israeli residents who cannot earn a living on their own is income support benefit (covered in Section 3.1). 3.1. There are also two housing benefits: public housing benefit (not covered in TaxBEN but further details in the Annex) and Rental Assistance (covered in Section 3.2).

3.1. Income support benefit (הגמלה להבטחת הכנסה)

Variable names: **[SA]**

This is a non-contributory benefit, means-tested and not taxable.

3.1.1. Eligibility conditions

- Continuity of residence: Israeli resident for 24 consecutive months preceding the submission of claim;
- Aged 20 and over;
- The incomes of claimant and spouse are lower than the minimum level determined in the law;
- Registered as unemployed and reporting to Employment Service about job search. The reporting requirement to the Employment Service applies to the claimant and his spouse. There are persons exempt from the requirement, e.g. a mother of a child up to two years old. 

3.1.2. Benefit amount

The income support benefit has a number of rates. Each rate can be paid fully (*income support*) or partially (*income supplement*). Listed below are the various benefit rates as a percentage of the basic amount for income support (ILS 8,674).

For those under the age of 55:

- Single individual: 20.0%;
- Couple without children: 27.5%;
- Couple with one child: 30.0%;
- Couple with two or more children: 33.5%.

Higher rates may apply if an increased rate has been granted in December 2002 (not covered in TaxBEN).

For those under the age of 25:

- The benefit rate is 80% of the rates listed above (if not defined as one of the exceptions in the law).
- Young persons under the age of 20 are entitled to the benefit as one of the exceptions set down in the law, such as a parent of a child in his custody, or pregnant and not living with parents provided that one of them receives an income support benefit, an orphan or an abandoned child (not covered in TaxBEN).
- Persons at the age of 18 or over are eligible if they lack the capacity to work due to illness, are released prisoners, prisoners working at service jobs, persons in severe distress (not covered in TaxBEN).

For those aged 55 or over:

- Single individual: 25.0%;
- Couple without children: 37.5%;
- Couple with one child: 43.5%;
- Couple with two or more children: 49.5%.

For widows, separated persons and single parents:

- under the age of 55:
 - with one child: 33.5%;
 - with two or more children: 39.0%.
- for those aged 55 or over:
 - with one child: 42.5%;
 - with two or more children: 52.5%;
 - → to both rates a reduction of one child allowance basic amount applies (ILS 150; see Section 4.1).

Other special groups include immigrants, orphans or abandoned children, relatives of deceased (not covered in TaxBEN).

3.1.3. *Benefit duration*

For an unlimited time, as long as the conditions of entitlement to benefit are fulfilled.

3.1.4. *Means test*

The benefit is means-tested (see Section 3.1.7).

3.1.5. *Tax treatment*

Health insurance is deducted from this benefit at the minimum rate of ILS 103 per month.

3.1.6. *Interaction with other components of the tax-benefit system*

For purposes of the income support benefit, the amounts of alimony or child support are deducted from the amount of the income of a person who pays alimony or child support under a court judgment to a partner or child not living with the person. However, the deducted amount may not exceed the income support benefit of the person according to the family composition.

3.1.7. *Combining benefit receipt and employment/starting a new job*

In the income test for entitlement to the income support benefit, the amount of income (from work and pension) not considered as income is:

- ILS 495 for an individual under age 55;
- ILS 693 for a person under age 55 with dependents;
- ILS 1,288 for an individual aged 55 or over;
- ILS 1,684 for a person aged 55 or over with dependents.

Above this income, the benefit is decreased by one ILS for every ILS of income from pension (100%) and by 70% for singles and couples without children below age 55 (67.5% for couples with one child; 62.5% for couples with two or more children; 25% for single parents up to 3349 ILS and 60% above; 60% for those aged 55 or over) of income from

work. As a result, the maximum income from work that still entitles one to the minimum benefit is:

For those under the age of 55:

- ILS 2,974 for a single;
- ILS 4,100 for a couple;
- ILS 4,548 for a couple with one child;
- ILS 5,343 for a couple with two or more children;
- ILS 7,086 for a lone parent with one child;
- ILS 7,881 for a lone parent with two or more children.

For those aged 55 or over:

- ILS 3,764 for a single;
- ILS 5,399 for a couple;
- ILS 5,853 for a couple with one child;
- ILS 6,727 for a couple with two or more children;
- ILS 8,565 for a lone parent with one child;
- ILS 10,012 for a lone parent with two or more children.

3.2. Rental assistance

In January 2014 the Public Housing Law (1998) has been modified coming into effect from 1 January 2013 for the following 5 years. In June 2014 the rental assistance was extended to all areas including small locality.

Rental assistance is a non-contributory benefit, means-tested and not taxable.

Variable names: [\[HB\]](#)

As more recent data is currently not available, the reference date for policies described in this section is 1 July 2016.

3.2.1. Eligibility conditions

The benefit is subject to a "credit system" which ranks eligibility for housing benefit (credit points of entitlement). The following persons are eligible:

- An individual or a family, who do not share partial or complete rights to an accommodation - existing or in building process;
- A person with an apartment, which is registered in his name under the following conditions:
 - The apartment is not available to him;
 - A close family member is living in that apartment (sister, brother, mother, father);
 - The family member did not and does not have any other apartment registered in his name;
 - The family member has not received any housing assistance.

3.2.2. Benefit amount

The benefit is calculated according to several parameters:

- Area of residence: those who do not live in priority development area are entitled to larger benefits in accordance with higher rents required in these areas;
- Family situation (couples, single parents, singles);

- Age (relevant only for singles);
- Number of children;
- Income test (for families with at least one parent working full-time whose total family income is low);
- Eligibility to certain benefits (e.g. disability benefit, of at least 75% and an income support benefit);
- An increased rate of 10% is given to holocaust survivors, Second World War veterans or victims of the Chernobyl nuclear reactor disaster (not covered in TaxBEN).

The table below shows the amount ranges for all types of areas:

Category	Amount, 2015 (ILS)
Individuals Aged 55+ receiving income supplement benefit	370-580
Couples with no children	550-850
Lone parents or couples with children – Up to 3 children (incl.) – 4 children or more	760-1,250 950-1,500
Their income from wage is under 25% above the income level credit (grade 46): – Up to 3 children (incl.) – 4 children or mote	480-1,170 600-1,470

In the model the highest possible benefit amounts are applied (i.e. the upper bound).

Special rates apply to those waiting for public housing apartments, some groups of elderly, immigrants, lone soldiers (not covered in TaxBEN).

3.2.3. Benefit duration

3.2.4. Means test

The maximum wage (ILS) which makes the person entitled to the benefit is as follows (as of January 2015):

Entitled group	Grade 45	Grade 46	Grade 47
Couple	4,491	5,614	
Couple with child	4,940	6,175	
Couple with 2 or more children	6,045	7,556	
Lone-parent family			7,838

3.2.5. Tax treatment

Benefits are not taxable.

3.2.6. Interaction with other components of the tax-benefit system

3.2.7. Combining benefit receipt and employment/starting a new job

4. Family benefits

4.1. Child allowance (קצבת ילדים)

Variable names: [FB; FB_I; FB_supp]

This is a contributory benefit, not means-tested and not taxable.

4.1.1. Eligibility conditions

An insured parent can receive a monthly allowance for children under the age of 18, living in Israel and not married.

An insured person who supports a child who is not his for at least 12 months is also eligible (not covered in TaxBEN).

An increment to child allowance is paid to large families (i.e. families with three or more children) that receive a subsistence benefit (e.g. income support, alimony, disability, old age, or survivors).

4.1.2. Benefit amount

For a child born up to 1 June 2003:

- For the first child – the basic amount for child allowance (ILS 140);
- For the second child – ILS 189;
- For the 3rd child – ILS 189;
- For the 4th child – ILS 336;
- For the 5th and each additional child – ILS 354 (not covered in TaxBEN).

For a child born on or after 1 June 2003:

- For the first child – the basic amount for child allowance (ILS 150);
- For the 2nd, 3rd and 4th child – ILS 189;
- For the 5th and each additional child – ILS 150 (not covered in TaxBEN).

Increment to child allowance:

An increment to child allowance for the third and fourth child in the family is 70% of the basic amount (i.e. ILS 0.7*150) for each child.

4.1.3. Benefit duration

As long as the eligibility conditions hold.

4.1.4. Means test

The benefit is not means-tested.

4.1.5. Tax treatment

The benefit is not taxable.

4.1.6. *Interaction with other components of the tax-benefit system*

4.1.7. *Combining benefit receipt and employment/starting a new job*

4.2. *Study grant (מענק לימודים)*

Variable names: **[FB; FB_stud]**

This is a non-contributory benefit, not means-tested and not taxable.

4.2.1. *Eligibility conditions*

Study grant is paid for every child between the age of 6 and 14 years in entitled families at the beginning of the school year. The following families are entitled to the grant:

- A lone-parent family;
- A family with 4 or more children that receives income support (see Section 3.1);
- A child orphaned from both parents (not covered in TaxBEN);
- An abandoned/orphaned child (not covered in TaxBEN);
- A child who immigrated to Israel without an insured parent (not covered in TaxBEN);
- A woman residing in a shelter for battered woman (not covered in TaxBEN);
- A person who receives an income support benefit separately from his/her spouse (not covered in TaxBEN).

4.2.2. *Benefit amount*

The grant is 18% of the basic amount for income support (ILS 8 648) for children aged 6-11 and 10% of the basic amount for income support for children aged 12-14.

4.2.3. *Benefit duration*

As long as eligibility conditions hold.

4.2.4. *Means test*

Not means-tested.

4.2.5. *Tax treatment*

Non-taxable.

4.2.6. *Interaction with other components of the tax-benefit system*

4.2.7. *Combining benefit receipt and employment/starting a new job*

5. **Childcare for pre-school children**

The **reference date** for the policy rules described in this section is **January 1, 2018**.

The Free Compulsory Education Law to children from the age of five established in 1969 that the state would provide free education, which became a "compulsory kindergarten".

According to the decision of the Israeli government, the state provides free education from the beginning of the 2012/13 school year (i.e. 27 August 2012) for pre-school children aged 3-4 in the public kindergartens.

The Ministry of Education also participates in salary payments of local authorities' kindergartens. Kindergartens for children aged 3-5 are eligible. Also recognized non-official kindergartens are eligible.

5.1. Gross childcare fees

Variable names: `[ILcc_cost]`

Average expenditure on education services for households with children aged 0-15 years (who had the relevant expenditure) in current prices in 2017 (most recent data available; in the TaxBEN model, fees are uprated to 2018 using CPI):

Type of care	Average expenditure (ILS) Per month 2017
Total	613
Day nursery	1,467
Private kindergartens	1,507
Pre-compulsory kindergartens	426
Compulsory kindergartens	339
Elementary school	475
Intermediate school	308
Afternoon education	819

Source: Israel CBS. HES survey for 2017. Note: TaxBEN applies fees for Day nursery only.

5.1.1. Discounts for part-time usage (not modelled)

None.

5.2. Fee discounts and free provision

5.2.1. Eligibility

Tuition for participation in the pre-compulsory kinder garden is determined by the Ministry of Education and it also takes into account the following circumstances.

Area of residency – parents living in preferred area A and B are entitled to a full refund of the tuition (not covered in TaxBEN).

Distressed neighbourhoods – children from age four, living in distressed neighbourhoods as defined by the ministerial commission for distressed neighbourhoods, are entitled to 90% refund of the tuition (not covered in TaxBEN).

5.2.2. Amount of discount or free provision

See Section 5.2.3.

5.2.3. Variation by income

The ‘reduction percentage benefit’ reducing the childcare fees that have to be paid by the parents is due to the average monthly gross income per person (including child allowance) and is as follows:

Average gross income per person (ILS)	Paying Rank (%)
1336–0	10
1446–1337	20
1568–1447	30
1684–1569	40
1831–1685	50
1920–1832	60
2038–1921	70
2233–2039	80
2279–2234	90
Above 2280	100

The maximum income amount for receiving this benefit from the Ministry of Education is ILS 1,494 (rank 4). Local authorities can fund benefits (beyond the rates given by the Ministry of Education) at their own expense.

5.3. Child-care benefits for formal centre-based care

Variable names: `[cc_benefit]`

There are no cash benefits received by parents of children in childcare.

5.4. Childcare allowance for children not using child care centers

None.

5.5. Tax concessions for childcare expenditures

There are no tax benefits for childcare expenditures. Instead working parents of young age children (up to 5 years old) are entitled to a universal tax credit (see Section 8.1.4).

6. In-work benefits

6.1. Earned income tax credit

A non-wastable earned income tax credit (EITC) was implemented in 2008 in selected geographical areas of Israel covering 15 % of the population. Entitlement to this credit is established based on earnings in the previous year. The tax credit was extended to all areas of Israel in 2012 (based on the earnings in 2011 and therefore we already included it in the 2011 version of the model). For mothers of children up to the age of 2 and for single parents the full coverage started in 2011 (based on earnings in 2010).

Variable names: `[IW; NIT_p; NIT_s]`

6.1.1. Eligibility conditions

Entitlement to this credit is established based on earnings in the previous year.

6.1.2. Benefit amount

Under the law, workers aged 23 or more who are parents of one or two children aged less than 18 (or workers aged 55 or more even without children), and earn at least ILS 2,100 per month (ILS 25,200 per year; about 39% per cent of the minimum wage) but not more than ILS 6,320 per month (ILS 75,840 per year) are eligible for a monthly increment of up to ILS 330. The corresponding figure for a family with 3 or more children is ILS 490.

Since 2016, single parents are eligible for the EITC for a wider income range – from ILS 1,290 per month (ILS 15,480 per year) to ILS 9,570 per month (ILS 114,840 per year; for a single parent of 1-2 children) or ILS 11,690 per month (ILS 140,280 per year; for a single parents of 3 or more children).

Since 2013 (based on earnings in 2012), these sums were increased by 50% for working mothers (and fathers in one-parent family).

A temporary measure (for earnings in 2018 only) expanded the 50% bonus to all working fathers and furthermore added a bonus of 30% for families where both parents work full-time. This was included in the TaxBEN model for 2018.

Families in which both parents work, and their joint income does not exceed ILS 12,380, per month (ILS 148,560 per year) are entitled to these benefits for each wage-earner. The grant is paid four times a year directly into the account of the eligible persons.

6.1.3. Benefit duration

As long as eligibility conditions hold.

6.1.4. Means test

The amount of the credit depends on the level of earned income.

6.1.5. Tax treatment

Not subject to taxation.

6.1.6. Interaction with other components of the tax-benefit system

No interaction.

7. Social security contributions and payroll taxes

Social security contributions are made up of National Insurance and Health Insurance. The rates paid by employees and employers are applied in two brackets:

- A reduced rate is applied for income up to a level of 60% of the average wage per employee (ILS 5,944 per month in 2018).
- A full rate is applied for income exceeding 60% of the average wage per employee and up to a level of around 5 times the average wage per employee (ILS 43,370 per month (ILS 520,440 per year) in 2018).

7.1. Employee social security contributions

Variable names: [SOCSEC_p; SOECSEC_s; SSC_NAT_p; SSC_HLTH_p; SSC_NAT_s; SSC_HLTH_s]

The taxable base for social security insurance contributions paid by employees is the total amount of the gross wage or salary including fringe benefits. The assessment period is the calendar month. The effective employees' contribution rates in 2018 are as follows:

Insurance branch	Full rate contribution (%)	Reduced rate contribution (%)
Total for National Insurance branches	7.00	0.40
Health	5.00	3.10
Total contributions	12.00	3.50

The minimum rate of national insurance contributions for unemployed is ILS 23 per month (as of 1 January 2018).

A person who does not work and has no income pays the minimum health insurance contribution at the amount of NIS 103 per month.

7.2. Employer social security contributions

Variable names: [SSCR_general_p; SSCR_general_s]

Social security insurance contributions are also paid by employers on behalf of their employees. Employers pay only National Insurance contributions (and not health insurance). The employers' contribution rates in 2017 are as follows:

Insurance branch	Full rate contribution (%)	Reduced rate contribution (%)
Total for National Insurance branches	7.50	3.45
Health	-	-
Total contributions	7.50	3.45

7.3. Contributions to private pensions

Variable names: [NTCP_ee_p; NTCP_ee_s; NTCP_er_p; NTCP_er_s]

In 2008, a compulsory employment pension was introduced for employees with a period of employment of at least 6 months. The minimum rate of contributions is 18.5% of the employee's salary in 2018 up to the level of ILS 9,906 per month (ILS 118,872 per year). About one third is paid by the employee and two thirds by the employer. These contributions are included in the non-tax compulsory payments (NTCP) calculations in TaxBEN.⁵

⁵ NTCPs refer to compulsory payments made by employers or employees in connection with the employees' labour activity that do not qualify as taxes and social security contributions. See the ["Associated paper: non-tax compulsory payments"](#) to the latest OECD *Taxing Wages* report for more details on NTCPs.

8. Taxes

In general, spouses are taxed separately on their earned income, subject to the condition that its sources are independent. Since 2014, spouses could still be taxed separately, even in cases where their earned income is deemed to be interdependent. (*In the model it is assumed that spouses earn income independently*). There are no regional or local income taxes.

8.1. Personal income tax

Variable names: `[IT; INCTAX_p; INCTAX_s]`

8.1.1. Tax allowances

There are no tax allowances in Israel. For tax credits see Section 8.1.4.

8.1.2. Tax base

All benefits considered in the model, except for unemployment insurance benefit, are not taxable. In the model, tax base consists of employment income and unemployment benefits.

8.1.3. Income tax schedule

The tax schedule for earned income in 2018 is as follows:

Tax rate	Taxable income
(%)	(ILS per year)
10	0 - 74,880
14	74,880 - 107,400
20	107,400 - 173,280
31	173,280 - 239,520
35	239,520 - 498,360
47	498,360 - 641,880
50	Above 641,880

8.1.4. Tax credits

Variable names: `[WTC_p; WTC_s]`

Basic credit:

Every resident taxpayer is entitled to 2.25 credit points (ILS 5,832 in 2018).

Additional credit for women:

Women are entitled to a further half credit point (ILS 1,296 in 2018).

Child tax credit:

Working mothers (and fathers in one parent families) with children aged under 18 are entitled to one additional credit point per child (ILS 2,592 in 2018). In 2012 this credit was increased to 2 credit points per child aged under 5. Since 2012, married working fathers with children aged under 2 are also entitled to 2 credit points per child. In 2017, the credit for both parents was increased to 2.5 credit points per child aged under 5 (ILS 6,480 in

2018). A detailed overview of credit points for the child tax credit can be found in the Annex.

Single parent tax credit:

Single parents (both mothers and fathers) are entitled to one additional credit point (ILS 2,592 in 2018).

Other tax credits:

Other tax credits (not covered in TaxBEN) are granted for contributions to approved pension schemes; living in certain development areas or conflict zones; to new immigrants; to discharged soldiers and graduates of academic studies.

There is also **Earned Income Tax Credit**, classified in the model as in-work benefit (see Section 6.1).

Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Israel that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Unemployment benefit for persons in vocational training (דמי אבטלה למשתתף בהכשרה מקצועית)

If an unemployed person participates in vocational training, the amount of the benefit is equivalent to the difference between the payment given to the person during training and 70% of the unemployment benefit to which he would have been entitled had he been unemployed. The maximum period of payment for a person with less than 12 years of schooling is 138 days (even if his maximum period according to general rules is less than that).

Unemployment benefit for persons working at unsuitable work (דמי אבטלה לעובד בעבודה לא מתאימה)

Work is considered suitable if it meets 3 conditions:

- A type of work at which the unemployed person worked in the 3 years preceding his unemployment, or any other work suiting the persons professional training, education level and health condition;
- The wages of the work offered are at least equal to the unemployment benefit which would be due to him, were he entitled to it;
- The work offered does not require a change in residence.

If an unemployed person starts working at an unsuitable job, he receives a benefit which is the difference between the average daily income from work and the amount equivalent to the unemployment benefit or the amount equivalent to 75% of the average daily wage which served as the basis for calculation of the unemployment benefit (if the latter difference is higher). The benefit is paid for the first 60 days after the beginning of unemployment.

Unemployment benefit for demobilized soldier (דמי אבטלה לחייל משוחרר)

The minimum daily unemployment benefit for a demobilized soldier is determined on the basis of the daily average wage, calculated as 60% of half the basic amount for income support (ILS 8 648), but no more than 80% of the minimum wage.

Furthermore, a demobilized soldier who works at a job recognised as a preferred/required job (at unsuitable work) may be eligible for a grant at the rate of half the unemployment benefit due to him for a period of 138 days. This benefit can also be paid as a partial grant (subject to certain conditions).

The grant is tax deductible and treated as an income by the Income Tax Authority.

Public housing benefit

Public housing is an "inventory" of apartments that belongs to the state for the use of those in need. Public housing benefit provides subsidized rental apartments.

The benefit is subject to a "credit system" which ranks eligibility for housing benefit (credit points of entitlement). The inventory of apartments in public housing is very limited, therefore eligibility is restricted to persons who are in a state of economic or functional stress:

- An individual or a family, who do not share rights partial or complete rights to an accommodation - existing or in building process.
- Persons holding a certificate to prove that he/she are lacking an apartment.
- Families:
 - Where both parents have accumulated at least 1400 "credit points".
 - That has 3 or more children.
 - Whose income is less than the maximum amount of social security that a couple with 2 children can receive.

Working to their full earning capacity.

It should be noted that there is an extended waiting period for public housing apartments. During this period a special assistance for rental accommodation is provided.

Hospitalisation grant (מענק אייזפיר)

This is a grant given to the hospital due to hospitalisation in connection with giving birth.

A woman who needs to be hospitalized in connection with giving birth is eligible for the grant if she belongs to one of the following categories:

- An insured woman or a wife of an insured person (even if she gave birth outside Israel);
- An employed or a self-employed woman working in Israel or a wife of an employee or a self-employed person;
- Working in Israel for at least 6 month immediately preceding the birth even if not a resident in Israel (provided she gave birth in Israel).

The above does not apply to a person living in an area or in territories of the autonomy who is not an Israeli resident.

The amount of the grant is set by the regulations and is updated on ad hoc basis

Birth grant (מענק לידה)

This is a grant given to the woman giving birth. Eligibility is the same as for the hospitalization grant. In case of one child being born, the grant is:

- 20% of the basic amount for the birth grant (ILS 8 783) for the first child of the family;
- 9% of the basic amount for the second child of the family;
- 6% of the basic amount for the third or any subsequence child of the family.

In case twins are born, the grant is 100% of the basic amount. An additional 50% of the basic amount is paid for every additional child born in the same birth.

Child birth allowance (קצבת לידה)

This is an allowance given due to the birth of 3 or more children in one birth. Eligibility is the same as for the hospitalization grant. On condition that the mother is entitled to maternity grant and that at least 3 children remained alive at the end of the 30th day period following the birth, the allowance (a percentage of the basic amount for the birth grant, ILS 8 757) is paid for 20 months.

Maternity allowance and vacation pay (דמי לידה)

This is an allowance given due to maternity leave. In order to be eligible for this allowance a mother (or a father) should have paid insurance contributions as an employee or self-employed for 10 out of the 14 months or for 15 out of the 22 months (or for 6 out of the 14 months - for mothers only) preceding the determining date⁶.

For a father employer's authorization to take the leave is also necessary. Furthermore, the mother must be entitled to maternity leave of at least 14 weeks from the birth, agree waive part of her maternity leave, and return to work not before the end of 6 weeks from the birth (unless she is not able to take care of the child due to her medical condition).

The allowance is 100% of the average daily income liable for insurance contributions of the entitled person in the three-month preceding the determining date. The allowance is granted for a period of:

- 14 weeks – if insurance contribution were paid for 10 months out of 14 or for 15 months out of the 22 months.
- 7 weeks (for mother only) – if insurance contribution were paid for 6 months out of 14 or for 15 months out of the 22 months.
- Father's maternity leave is at least 21 consecutive days.

The taxes are paid at the rate of the parallel income amount received from work. National insurance contributions and health insurance contributions are deducted from these benefits.

Risk pregnancy benefit (קצבה לשמירת היריון)

This is a benefit given during the pregnancy for a woman in risk due to her pregnancy. The following eligibility conditions should hold:

- A resident of Israel;
- Employee or self-employed woman;
- Absent from work due to a medical condition endangering the insured woman or her foetus;
- Qualifying period up to determining date for risk pregnancy;
- A period of precautionary rest of at least 30 consecutive days due to risk pregnancy;
- Non-receipt of payment for risk pregnancy from any other source.

For every day of precautionary rest due to risk pregnancy, the lowest of the following amounts is paid:

⁶ The day on which the insured woman ceased working while pregnant.

- A sum equivalent to the basic amount (ILS 8 783), divided by 30.
- The insured woman's income in the 3 months preceding the day of her cessation of work, divided by 90.

The taxes are paid at the rate of the parallel income amount received from work. National insurance contributions and health insurance contributions are deducted from these benefits.

Payroll taxes

The following payroll taxes exist in Israel but they have limited coverage:

- Wage tax on the non-profit institutions: the VAT law imposes a 7.5% on the wage-bill on the non-profit sector including Government;
- Wage tax on the financial institutions: the VAT law also imposes a 17.00% tax on the wage-bill of the financial institutions.

Child tax credit – additional details on credit points

The following information refers to the child tax credit described in Section 8.1. In 2012 and again in 2017, the tax credit for younger children was increased as follows:

		Number of credit points per child, by age of the child:							
		0	1	2	3	4	5	6-17	18
Up to 2011	Mothers	0.5	1	1	1	1	1	1	0.5
	Fathers	0	0	0	0	0	0	0	0
2011-2016	Mothers	0.5	2	2	2	2	2	1	0.5
	Fathers	1	2	2	1	0	0	0	0
Since 2017	Mothers	1.5	2.5	2.5	2.5	2.5	2.5	1	0.5
	Fathers	1.5	2.5	2.5	2.5	2.5	2.5	0	0